Refunds: what was actually going on

To: Arjun Mehta, Finance Controller | From: Kabir Nanda | Re: Monthly refund summary by reason and agent

1. Why your number and Sameer's didn't match

Your export and the helpdesk's own report disagreed because of two data bugs, not because refunds are out of control. First, tickets migrated from the old support tool (Freshdesk) before September 2025 store rupee amounts 100x too large in the raw export. Second, 638 tickets got counted twice because they were re-imported during the migration and now appear under both the old and new systems. Once both are fixed, 18 months of refunds (Jan 2025–Jun 2026) total **Rs 67.1 lakh** — averaging about **Rs 11.2 lakh a quarter**, matching the helpdesk's own report almost exactly. Your export summed the same money multiple times at 100x its real value, which is how it reached a crore.

2. Refunds aren't rising out of control — the business is growing

Refund value did rise from ~Rs 6.1 lakh in Q1 2025 to ~Rs 16.3 lakh in Q4 2025. But total support tickets grew just as fast over the same period (1,053 to 2,678 a quarter), and the average refund per ticket (~Rs 2,700–3,000) barely moved. The refund rate — the share of tickets that end in a refund — has stayed flat at 18–22% for six straight quarters. This is volume, not a leak.

3. The real visibility problem: “Other” was swallowing the answer

“Goodwill / Other” is the first option in the agent's dropdown, and it was selected for 42% of all refunds — the largest single bucket, and not a genuine answer to “what for.” Reading the tickets themselves, most of these are duplicate payments, cancellations, and delayed return refunds that agents simply didn't re-tag. I built a small AI-assisted tool that reads each ticket's own text and reassigns it to the correct reason where the text is clear, and leaves it as goodwill where it genuinely is. That took the unexplained bucket from 42% of refund value down to 14% (Rs 29.1 lakh → Rs 9.4 lakh over 18 months). The full breakdown by reason and by agent is in the attached board_summary.csv.

4. The one finding that is a real problem

Vireo's own policy says a customer should never get both a refund *and* a replacement unit for the same order without Finance/Team Lead sign-off. It's happening anyway: 166 tickets over 18 months, and the rate is climbing — about 34 tickets a quarter now versus 15 a quarter in early 2025. Refund value alone on these is Rs 5.7 lakh; including the replacement units sent out alongside, the combined cost is roughly **Rs 1.78 lakh every quarter** at the current run rate, more than double where it started. It's spread across Chat, Logistics and Email Frontline, not one team or agent gaming the system — it reads as a process gap (no system check stops a second remedy once a refund is logged), not fraud.

Business goal

Add a system check that blocks a replacement being issued on a ticket that already has a refund (or vice versa) without explicit Team Lead approval — cutting this policy-violation rate from ~34 tickets/quarter toward zero, worth roughly Rs 1.78 lakh a quarter (~Rs 7 lakh a year) in avoided double-cost, on top of closing a compliance gap.

What's attached

- board_summary.csv — refunds by month, agent and (corrected) reason code, ready for the board pack.
- refund_by_agent.csv — per-agent totals. Read raw refund value by agent with care: the Returns Desk and Billing teams process the large majority of refunds by policy design, so they rank highest by volume alone, not because of a problem. The more useful per-agent cut is the '% still tagged Other' column.
- policy_violations_refund_and_replacement.csv — the 166 tickets behind finding #4, for Team Lead follow-up.

Caveat: the reclassifier was checked by hand against 59 sampled tickets — 88% right overall, 94% where it was confident enough to act. Good enough for a board-level view; not precise enough to cite one agent off a single ticket without a human reading it first.